26LBCV00729 26LBCV00729

County: los-angeles

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BACKGROUND

On
March 24, 2026, Plaintiff commenced this action against Defendant Hyundai Motor
America alleging violations of the Song-Beverly Act.

On May 11, 2026, Defendant filed the
instant motion to compel arbitration.

On July 14, 2026, Plaintiff filed
opposition.

On July 15, 2026, Defendant filed a reply.

On August 19, 2026, the Court continued
the matter and ordered Defendant to re-file the declaration of Anthony Goel
with missing exhibits attached. Defendant filed the declaration the same day.

DISCUSSION

Applicable
Law

Under both
the Federal Arbitration Act and California law, arbitration agreements are
valid, irrevocable, and enforceable, except on such grounds that exist at law
or equity for voiding a contract. (Winter v. Window Fashions
Professions, Inc. (2008) 166 Cal.App.4th 943, 947.) In ruling on a

motion to compel arbitration, the court must first determine whether the parties actually agreed to arbitrate the dispute, and general principles of California contract law help guide the court in making this determination. (Mendez v. Mid-Wilshire Health Care Center (2013) 220 Cal.App.4th 534, 541.) "With respect to the moving party's burden to provide evidence of the existence of an agreement to arbitrate, it is generally sufficient for that party to present a copy of the contract to the court." (Baker v. Italian Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160.)

The right to compel arbitration exists unless the court finds that the right has been waived by a party's conduct, other grounds exist for revocation of the agreement, or where a pending court action arising out of the same transaction creates the possibility of conflicting rulings on a common issue of law or fact. (Code Civ. Proc., § 1281.2(a)-(c).)

Preliminary Matters

A. Request for Judicial Notice

Defendant requests judicial notice of Plaintiff's Complaint filed in this action. Although it is not necessary to take judicial notice of documents already contained in the court file, the request is GRANTED. (Evid. Code, §§ 452, subd. (d), 453; Scott v. JP Morgan Chase Bank, N.A. (2013) 214 Cal.App.4th 743, 754–755.)

Defendant also requests judicial notice of Hyundai's 2022 Owner's Handbook and Warranty Information on the grounds that the Court may take judicial notice of documents referred to in the Complaint, and Plaintiff refers to and relies on the express warranty in their Complaint. (See Complaint at ¶ 14.) (See Ingram v. Flippo (1999) 74 Cal. App. 4th 1280, 1285.) This request is GRANTED.

Analysis

B. Applicability of The Federal Arbitration Act ("FAA")

“The party seeking to enforce an arbitration agreement has the burden of showing FAA preemption.” (Lane v. Francis Capital Mgmt. LLC (2014) 224 Cal.App.4th 676, 684.) California law provides that parties may expressly designate that any arbitration proceeding should move forward under the FAA's procedural provisions rather than under state procedural law. (Cronus Investments, Inc. v. Concierge Services (2005) 35 Cal. 4th 376, 394.) Otherwise, the FAA provides for enforcement of arbitration provisions in any “‘contract evidencing a transaction involving commerce.’ (9 USC § 2.).” (Allied-Bruce Terminix Companies, Inc. v. Dobson (1995) 513 U.S. 265, 277.) Accordingly, “[t]he party asserting the FAA bears the burden to show it applies by presenting evidence establishing the contract with the arbitration provision has a substantial relationship to interstate commerce[.]” (Carbajal v. CWPSC, Inc. (2016) 245 Cal.App.4th 227, 234, [italics added].) Moreover, as noted above, California contract law applies to the validity of the arbitration agreement. (Winter, supra, 166 Cal.App.4th at p. 947.)

Defendant argues that the parties unambiguously agreed that the FAA would apply in both agreements. (CSA, § 15(C) [Rao Decl., Ex. B, p. 10] [“This Agreement evidences a transaction in interstate commerce, and thus the Federal Arbitration Act governs the interpretation and enforcement of this Arbitration Agreement.”]; NVLW [Goel Decl., Ex. E, p. 14].)

Here, Defendant has established that the FAA is explicitly invoked in the Bluelink CSA, and the 2022 Owner’s Handbook and Warranty Information. Thus, the FAA governs both purported Agreements.

C. Existence of a Valid Arbitration Agreement

In deciding a petition to compel arbitration, trial courts must decide first whether an enforceable arbitration agreement exists between the parties, and then determine the second gateway issue of whether the claims are covered within the scope of the agreement. (Omar v. Ralphs Grocery Co. (2004)

118 Cal.App.4th 955, 961; see also Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC (2012) 55 Cal.4th 223, 236 [“[g]eneral principles of contract law govern whether parties have entered a binding agreement to arbitrate”].)

The party seeking to compel arbitration bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence. (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 972; see 9 U.S.C. § 2 [“…an agreement in writing to submit to arbitration an existing controversy arising out of such a contract, transaction, or refusal, shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.”].) General principles of contract law determine if the parties have entered into a binding agreement to arbitrate. (Craig v. Brown & Root, Inc. (2000) 84 Cal.App.4th 416, 42, citing Chan v. Drexel Burnham Lambert, Inc. (1986) 178 Cal.App.3d 632, 640-641.)

California Rules of Court, rule 3.1330 provides that a motion or petition to compel arbitration pursuant to Code of Civil Procedure sections 1281.2 and 1281.4 “must state, in addition to other required allegations, the provisions of the written agreement and the paragraph that provides for arbitration.” (Cal. Rules. Ct., 3.1330.) “The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference.” (Id.)

i. Subject Vehicle’s Owner Handbook and Warranty

Defendant first argues that Plaintiff is bound to arbitrate their dispute with Defendant because the Subject Vehicle’s owner’s handbook states that the Subject Vehicle’s warranty is subject to the terms of a binding arbitration provision:

If you purchased or leased your Hyundai vehicle in the State of California, you and we, Hyundai Motor America, each agree that any claim or disputes between us (including between you and any of our affiliated companies) related to or arising out of your vehicle purchase, advertising for the vehicle, use of your vehicle, the performance of the vehicle, any service relating to the vehicle, the vehicle warranty, representations in the warranty, or the duties contemplated under the warranty, including without limitation claims related to false or misleading advertising, unfair competition, breach of contract or warranty, the failure to conform a vehicle to warranty, failure to repurchase or replace your vehicle, or claims for a refund or partial refund of your vehicle's purchase price (excluding personal injury claims), but excluding claims brought under the Magnuson-Moss Warranty Act, shall be resolved by binding arbitration at either your or our election, even if the claim is initially filed in a court of law. If either you or we elect to resolve our dispute via arbitration (as opposed to in a court of law), such binding arbitration shall be administered by and through JAMS Mediation, Arbitration and ADR Services (JAMS) under its Streamlined Arbitration Rules & Procedures, or the American Arbitration Association (AAA) under its Consumer Arbitration Rules.

(Goel Decl., Ex. E.)

Here, the Court finds that Defendant provides insufficient evidence that the arbitration provision in the Subject Vehicle's owner's handbook is an enforceable contract. The owner handbook Defendant proffers contains no identifying information regarding Plaintiff. There is no name, signature, date, or even a digital log linking the form to Plaintiff. It appears to be a standard from. Anthony Goel, Manager, Executive Case Management at Hyundai Motor America, declares that "Plaintiff alleges they purchased a 2022 Hyundai Palisade from an authorized Hyundai dealership on February 16, 2022, which means that a copy of the '2022 Hyundai Owner's Handbook & Warranty Information' was provided to Plaintiff at the time of their purchase." (Goel Decl., ¶ 2.) That a copy of the handbook is customarily given does not amount to an agreement being made.

Defendant argues that Plaintiff should be estopped from asserting that the absence of their signature on a written contract precludes the enforcement of a contract's arbitration clause, citing Boucher v. Alliance Title Co., Inc. (2005) 127 Cal.App.4th 262, 269. However, this principle only applies where there is an enforceable contract, which is defective merely because one of the parties failed to sign. That is not the case here. Defendant presents insufficient evidence that the Subject Vehicle's warranty constitutes an enforceable contract under basic principles of contract formation. Defendant fails to show that the arbitration provision contained in the owner's handbook constituted an offer to which Plaintiff assented, thus the statements included in the handbook do not amount to an enforceable contract. (See Leslie v. Brown Bros. Inc. (1929) 208 Cal. 606, 621 [offer cannot be turned into agreement merely because the person to whom it is made makes no reply, even where offer states that silence will be taken as consent]; see Norcia v. Samsung Telecommunications America, LLC (9th Cir. 2017) 845 F.3d 1279, 1291 [offeree, regardless of apparent manifestation of her consent, is not bound by inconspicuous contractual provisions of which she was unaware, contained in a document whose contractual nature is not obvious]; Golden Eagle Ins. Co. v. Foremost Ins. Co. (1993) 20 Cal.App.4th 1372, 1385 [silence or inaction do not constitute acceptance].)

Ultimately, the warranty agreement included in the Subject Vehicle's handbook does not constitute an enforceable contract under principles of estoppel or foundational theories of contract formation. Because Defendant is without evidence that the statements regarding arbitration in the Subject Vehicle's owner's handbook amount to a contract, those statements are not grounds on which the Court will order Plaintiff to arbitrate his dispute with Defendant. (See Omar, supra, Cal.App.4th at p. 961.)

Thus, Defendant has not met its burden as to the Owner's Handbook and Warranty.

ii. Connected Services Agreement Terms and Conditions ("Bluelink Agreement")

Defendant argues that Plaintiff agreed to arbitrate when Plaintiff enrolled in Hyundai's Bluelink services at the time of purchase of the Subject Vehicle. (Rao Decl., ¶ 7, Ex. B.) The arbitration provision in the Bluelink Agreement provided in relevant part is as follows:

Hyundai and you agree to arbitrate any and all disputes and claims between us arising out of or relating to this Agreement, Connected Services, Connected Services Systems, Service Plans, the Vehicle, use of the sites, or products, services, or programs you purchase, enroll in or seek product/service support for, whether you are a Visitor or Customer, via the sites or through mobile application, except any disputes or claims which under governing law are not subject to arbitration, to the maximum extent permitted by applicable law. This agreement to arbitrate is intended to be broadly interpreted and to make all disputes and claims between us subject to arbitration to the fullest extent permitted by law. […] The agreement to arbitrate otherwise includes, but is not limited to: claims based in contract, tort, warranty, statute, fraud, misrepresentation or any other legal theory; claims that arose before this or any prior Agreement (including, but not limited to, claims relating to advertising) […]

(Rao Decl., Ex. B, § 14(C)(a).)

In support of the instant motion, Defendant provides the declaration of Vijay Rao, the Director of Connected Ops & Owner Apps/Web, for Hyundai. (Rao Decl., ¶ 1.) Rao administers business activities and processes relating to the Hyundai Bluelink services for Hyundai vehicles. (Ibid.) Rao's declaration contains "a redacted screenshot of the internal HAEA database record of Plaintiff's assent to the CSA on February 16, 2022" as Exhibit A. Rao declares that Plaintiff enrolled the 2022 Hyundai Palisade in Bluelink services on February 16, 2022, using the Dealer Web Portal ("DWP") and assented on that same date to the then-effective CSA per the redacted screenshot. Rao declares that Column G indicates the version of the CSA that Plaintiff accepted, Column J indicates the date Plaintiff accepted the CSA, Column I indicates the date Plaintiff first enrolled in Bluelink services, and Column M indicates how acceptance of the CSA took place. Rao clarifies that the abbreviation "DWP" indicates that Plaintiff accepted the CSA using the Dealer-Assisted Enrollment process on the Dealer Web Portal.

In opposition, Plaintiff argues that he made no outward manifestation or expression that can reasonably be inferred to be assent to Defendant's warranty booklet arbitration clause. Plaintiff asserts that there is no evidence that Plaintiff ever received the Bluelink Connected Services Agreement terms, only evidence that a box had to be checked before Bluelink could be activated in the vehicle. Plaintiff contends that there is no evidence that Plaintiff was ever provided the Bluelink Connected Services Agreement, and Defendant's own declarations state that the Connected Services Agreement is made available to every customer who enrolls in the Bluelink service plan, not that it was ever provided to Plaintiff.

Here, Hyundai makes an attempt
to tie the Bluelink form agreement to Plaintiff through a redacted portion of what appears to be an online spreadsheet of data. This digital log ostensibly shows that Plaintiff indeed checked a box agreeing to be bound to the Bluelink Agreement. However, regardless of whether Plaintiff agreed to be bound, the Court finds that Defendant has not met its burden of proving that Plaintiff's claims are covered under the Bluelink agreement. According to Defendant, the Bluelink system refers to “a connected car system that includes various functions and features.” (Rao Decl., ¶ 5.) It does not appear that any of Plaintiff's claims involve the Bluelink services system, and the Complaint does not mention the Bluelink services system. The Court is thus not persuaded that Plaintiff's claims are within the scope of the Bluelink Agreement.

Therefore,
Defendant has failed to meet its initial burden to establish the existence of a valid arbitration agreement binding Plaintiff and encompassing the instant claims.

CONCLUSION

Defendant's Motion to Compel Arbitration is DENIED.